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1. Suppose that the fixed costs associated with Coca-Cola's investments in advertising and logistics were very high relative to the total current and expected future size of the market for non-alcoholic beverages. Which of the following statements is most likely to be true?
- A. As a result of its investments in advertising and logistics, Coca-Cola is likely to participate in an oligopoly industry and achieve market power.
 - B. As a result of its investments in advertising and logistics, Coca-Cola is likely to have created substantial network effects and, thus, develop an effective platform market.
 - C. As a result of its investments in advertising and logistics, Coca-Cola is likely to have induced substantial negative externalities and, as a result, will likely forwards integrate.
 - D. As a result of its investments in advertising and logistics, Coca-Cola is likely to have created an efficient market.
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2. According to the note, "Market Failures and the roles of Business and Governments," which of the following best explains why governments offer intellectual property protection?
- A. because temporary monopoly rights compensate for the loss of knowledge associated with investments in innovation
 - B. because they are easier to impose than Pigouvian taxes
 - C. because offering monopoly rights to companies owned by friends of national leaders is one of the foundational 'inclusive economic institutions'
 - D. because market power forces them to do it, even if it is not in the best interests of shareholders or society
 - E. because people throw rocks at things that shine
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3. Which of the following is most true of the income statement and the balance sheet?
- A. together, they help us understand a firm's profitability and value to shareholders
 - B. each of these financial statements tells us pretty much the same thing, i.e., they tell us whether a firm will be profitable in the future
 - C. each of these financial statements tells us a different thing; one tells us about future stock market returns while the other tells us about profitability over the past few years
 - D. together, they help us understand the efficient market hypothesis
 - E. neither of these tell us the only think that shareholders really want to know, which about the extent to which managers are honoring the principal agent agreement
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4. Which of the following provides the best example of arbitrage?
- A. a trader buys gold from the Chicago Commodities Exchange and immediately sells it on an exchange in Asia at a higher price
 - B. an investor buys stock from the New York Stock Exchange, holds it for several years, hoping the value will increase over time, and then sells it on the London Stock Exchange
 - C. a tourist exchanges their currency in Canada before vacationing in Suriname where the exchange rate is favorable and hotels and restaurants cost less
 - D. a manufacturer purchases raw materials in Calcutta, then sells finished products to retailers at market price in Newark NJ
 - E. a coffee shop buys coffee beans wholesale in Ohio, then sells cups of coffee at retail price to customers in another town Ohio
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5. Which of the following best identifies a way that businesses could benefit from engaging in markets with competition?
- A. competition could lead them to reduce costs by more than they are forced to reduce price
 - B. competition could lead them to set prices slightly higher while doubling their costs
 - C. competition could lead them to violate intellectual property laws without getting caught for a couple of weeks, after which they would face considerable fines
 - D. competition could lead them to increase advertising costs without increasing price
 - E. competition could lead them to eliminate product differentiation
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6. Suppose that a firm in an industry affected by positive externalities were to learn that an unexpected scientific breakthrough at a university had dramatically increased the value of the firm's patents, thus increasing its market value (though not its book value). Assuming nothing else changes about the firm, which of the following best summarizes the impact that this event would have on its balance sheet?
- A. it would increase the value of its assets (i.e., patented intellectual property) and increase the value of its shareholder equity by the same amount
 - B. it would increase its bottom line, i.e., by substantially boosting the value of its net income
 - C. it would increase the value of its shareholder equity by a substantial amount while not affecting the other elements of the firm's balance sheet
 - D. it is not possible from available information to determine whether it would increase or decrease the value of any of the categories of information on the balance sheet
 - E. it would be like a nightmare dressed as a daydream!
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7. Which of the following provides the best example of a firm addressing a market failure by undertaking an action that will (a) increase its value capture and (b) modify its approach to its industry value chain?
- A. addressing the problem of transaction costs by backwards integrating (i.e., buying its supplier) and lowering the average costs of logistics
 - B. addressing the problem of market power by increasing its fixed costs of advertising and increasing willingness to pay for its products
 - C. addressing the problem of information asymmetry by building network effects into its matching markets
 - D. recognizing the problem of positive externalities by stealing trade secrets from its rival
 - E. recognizing the problem of public goods is rare, I was there, and I remember it all too well.
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8. Jim Cramer is a television personality who has a show on CNBC called, “Mad Money” in which he provides recommendations about which stocks his viewers should buy and sell. If the any form of the efficient market hypothesis is correct, which of the following statements is most correct? [Note that there are 3 forms of the efficient market hypothesis. The answer is the same whichever one you use.]
- A. Because stock prices reflect all information that is known to the public, it is unlikely that anyone can make a profit in the long-term trading stocks based on Cramer’s recommendations.
 - B. Cramer is an expert in stock analyses. If we follow the recommendations he makes on his show regarding which stocks to buy and sell, we are likely to make a profit greater than random over the long term.
 - C. On Friday November 8, 2024, Cramer recommended buying stock in Jabil, a company that manufactures electronic equipment. As a result, we should expect to profit from buying Jabil stock as long as we buy it within a week of Cramer’s recommendation.
 - D. If Cramer’s recommendations take into consideration past stock performance, we should accept his recommendations, because they will then be based on the efficient market hypothesis.
 - E. Someone should tell Cramer that, “We are never, ever getting back together. Like, ever.”
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9. According to the “Note on Markets,” which of the following is NOT a potential downside of an ‘efficient market’?
- A. market power
 - B. inequality & wealth disparities
 - C. short-term focus
 - D. ethical concerns
 - E. instability & market crises
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10. Which of the following provides the best example a firm creating value in the case of a public goods problem?
- A. by lowering the cost of medical care for veterans, thus lowering the costs to the U.S. Army of providing for U.S. national defense
 - B. by developing figuring out how to use marketing to raise cannabis prices, which can be used by for-profit cannabis dispensaries around the country
 - C. by lowering the search costs associated with investing in public companies
 - D. by lowering the costs of seat belts, which improves public safety and lowers the cost of cars, trucks, and other vehicles
 - E. by finally admitting that, “I’m the problem. It’s me.”
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11. The “Note on Markets” that we read for Week #8 argues that efficient markets can lead to multiple positive social and economic outcomes. Please list two positive outcomes that can arise from businesses operating in efficient markets and, for each positive outcome, provide an example based on your fictional coffee shop (or the real-world coffee shop market). [7 points]
- (Please write your essay response on a separate piece of paper)*
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12. This question includes 3 parts: The “Note on Markets” and the “Note on Market Design” that we read for Week #8 describe matching markets. Please explain (a) how matching markets differ from typical markets, (b) please identify a for-profit or non-profit organization that operates in matching market, and (c) please identify a reason why matching markets may not emerge. [9 points]
- (Please write your essay response on a separate piece of paper)*
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13. This question includes 3 parts: In Week #8's "Note on Markets," we read about "inclusive economic institutions." Please (a) explain what "inclusive economic institutions" are, (b) please identify an inclusive economic institution, and (c) please explain why inclusive economic institutions are important for business. [9 points]

(Please write your essay response on a separate piece of paper)

14. The text below presents a stylized mini-case on the 2008 Global Financial Crisis. Please read the mini-case and answer the questions that follow, noting that there are FOUR questions (parts a, b, c, & d) and that you may need to scroll down until the end of the questions.

The Global Financial Crisis had its roots the U.S. market for home mortgages, particularly the market for "subprime mortgages." Mortgages are loans from commercial banks (called, "mortgage lenders") to help individuals buy houses. "Subprime mortgages" are a type of mortgage made to individuals who need to borrow more than the usual fraction of money to buy a house. Such mortgages are riskier than a Standard Mortgage. The financial crisis began when ambitious executives at Mortgage Lender Banks extended Subprime Mortgages to increasingly risky sets of potential homeowners in the hope of earning big bonuses. These loans were riskier than the banks' shareholders wanted and, ultimately, many homeowners defaulted on their mortgages, failed to pay back the banks, and lost their homes. This led many of the Mortgage Lender Banks to fail as well. The U.S. Federal Government reacted to the crisis by providing funding that helped turnaround failing investment banks in 2008 and, in 2009, by providing support for citizens affected by the crisis.

- (a) Please identify and explain the type (or types) of information problems that arise in the case (i.e., identify the information problems and explain how the problem arises in the case; please do not provide a definition of the problem, just an illustration from the case). [6 points]
- (b) Please also identify one question that could be answered via each of the following types of analytics that might have helped the Mortgage Lenders avoid their failures: predictive analytics and prescriptive analytics? [4 points]
- (c) If you knew nothing else about the U.S. Federal government other than its response to the Global Financial Crisis, what type of economic system would you conclude that it operated and do you think that it acted in a way that is consistent with Amartya Sen's conception of value? [5 points]
- (d) Please explain the Principal-Agent problem that led to the failure of the Mortgage Lender Banks in this case, taking care to identify the Principal, the Agent, and the nature of the problem between them. [5 points]

(Please write your essay response on a separate piece of paper)

15.

The text below presents a stylized mini-case on the Global Tobacco Industry. Please read the mini-case and answer the questions that follow, noting that there are THREE questions (a, b, and c) and that you may need to scroll down until the end of the questions.

Throughout the 1900s, the U.S. Tobacco Industry was an oligopoly. Although firms in the industry knew as early as the 1940s that smoking cigarettes was associated with a higher probability of several cancers, including lung cancer, the firms all denied that such a link existed. For decades, they were able to convince American legislators (the folks who make laws) that smoking should not be regulated aggressively, despite the rising costs of helping patients with smoking-induced health conditions. By the 1990s, however, the scientific and medical evidence about the impact of smoking was overwhelming, particularly after a tobacco company executive told the public about some of the industry's internal secrets. In the late 1990s, tobacco companies entered into a "Master Settlement Agreement," with the U.S. State Governments agreeing to a ban on cigarette advertising, agreeing to ways to prevent any new firms from entering the industry, and agreeing on a series of fines for past behaviors.

- (a) One of the key market failures in this case involves externalities. Please explain (1) what type of externality is involved, (2) how firms in the industry captured value as a result of that externality, and (3) identify two options that the government could have pursued to mitigate the negative impact of the externality on the public. [10 points]
- (b) Please (1) identify the other extremely important type of market failure in this case and (2) explain the relationship between that market failure and the failure of the U.S. government to regulate the tobacco companies prior to the late 1990s. [10 points]
- (c) Suppose that, after the Master Settlement Agreement, one of the tobacco companies had created a new type of cigarette that protected users from harm, was not addictive, and provided a more pleasurable experience, but did increase average cost and did not enable the firm to charge a higher average price. How do you think this would affect value creation and value capture by that firm? [5 points]

(Please write your essay response on a separate piece of paper)